

NYSE: MPC

Marathon Petroleum Corporation

LONG · BUY RECOMMENDATION · APRIL 2026

~\$232

Current Price

\$287

Price Target

+24%

Upside

\$68B

Market Cap



America's Largest
Independent Refiner

3.0 mbpd Refining Capacity

13 Refineries · 3 U.S. Regions

~10,000 Miles Pipeline (MPLX)

\$10.2B Capital Returned — 2024

\$4.5B Capital Returned — 2025

23% Capital Return Yield (2024)

COMPANY SNAPSHOT

Refining Capacity	3.0 mbpd 13 Refineries
Regions	Gulf Coast · Mid-Con · West Coast
MPLX Ownership	~64% (publicly traded MLP)
Revenue (2024)	\$140.4B

BULL/BASE/BEAR

Bull: \$287 **Base: \$230** **Bear: \$142**

BULL(\$287): strong spreads + MPLX growth + higher multiple
upside case driven by sustained strong crack spreads, solid MPLX contribution, and multiple expansion

BASE(\$230): normalized earnings + steady MPLX + fair value
most likely case based on mid-cycle refining assumptions, stable MPLX cash flow, and fair valuation

BEAR (\$142): weaker spreads + lower earnings + lower multiple
downside case reflecting crack spread compression, lower refining earnings, and multiple contraction

Investment Thesis

Dual-Engine Cash Machine

MPLX distributions grow from \$2.8B → \$3.5B+ (12.5% CAGR), providing a margin-independent earnings floor — while Refining delivers leveraged upside on crack spreads.

Structural Refining Advantage

114% crack spread capture rate in Q4 2025, up from 96% in Q3 — vs. Valero at \$13.61/bbl margin. Sour crude diet (~50%), 3.0 mbpd capacity, and competitor closures permanently widen the moat.

Capital Return Powerhouse

\$10.2B returned in 2024 (23% yield). \$4.4B buyback authorization remaining. Float down ~40% since 2021 — massive per-share earnings leverage going forward.

MPLX Growth Catalyst

\$2.4B 2026 growth CapEx (90% NGL/Gas). Permian & Marcellus expansion. MPLX distributions alone cover MPC's dividends + standalone CapEx in 2026.

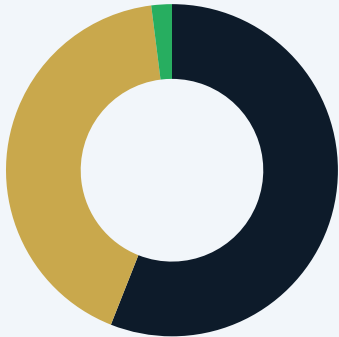
Valuation Disconnect

Trades at ~10.3x EV/EBITDA — market prices MPC as a pure refiner, ignoring the durable midstream premium. 14.5x forward P/E vs. S&P 500 at ~21x.

Base Target \$230 · Upside Target \$287 · Current ~\$232 · Downside \$142 (–39%) · Margin of Safety: MPLX Floor Covers Dividends + CapEx

Business Segments

FY2025 Adj. EBITDA Mix (\$12.0B)



■ Refining & Marketing ■ Midstream (MPLX)
■ Renewable Diesel

\$12.0B
FY2025 Adj. EBITDA

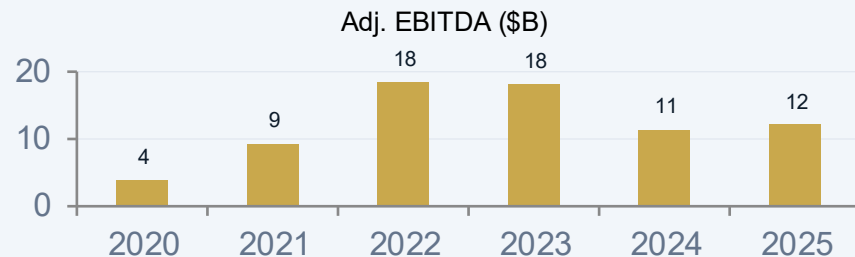
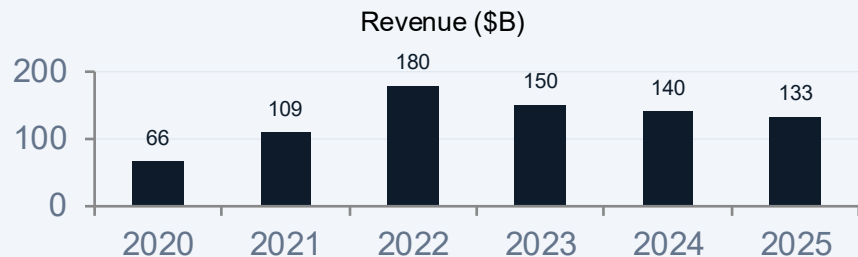
3.0 mbpd
Refining Capacity

95%
Utilization Rate

~56% of EBITDA	~42% of EBITDA	~2% of EBITDA
Refining & Marketing \$2.0B Adj. EBITDA (Q4 2025) 3.0 mbpd 13 Refineries 95% utilization (FY2025) 114% crack spread capture Gulf Coast: Garyville (largest US refinery), Galveston Bay, Texas City Mid-Continent: Catlettsburg, Canton, Detroit, Mandan, St. Paul Park, Robinson West Coast: Martinez CA (upgrade underway), El Paso TX, Kenai AK Key metric: \$18.65/bbl refining margin vs. peer VLO at \$13.61 — 37% premium	Midstream (MPLX LP) \$7.0B record Adj. EBITDA (FY2025) ~10,000 miles of pipelines - MPC owns ~64% of MPLX 12.5% distribution growth (2yr) Fee-based: earnings independent of commodity prices — structural floor for MPC Growth: \$2.4B 2026 CapEx; 90% toward Natural Gas & NGL Services Permian expansion: Northwind plant 400 MMcfd capacity (H2 2026) Distributions to MPC: \$2.8B (2025) → \$3.5B+ (2027) — covers dividends + CapEx	Renewable Diesel - Martinez CA JV (w/ Neste) - Dickinson ND: 184M gal/yr - LCFS credit monetization - Utilization improving YoY Martinez Renewable Fuels: converted refinery; Q4 2024 utilization improving Regulatory tailwind: California LCFS credit prices drive margin uplift SAF (sustainable aviation fuel) pilot at Dickinson under development Long-term option: LCFS expansion to other states = significant upside optionality

Summary Financials

FY2020–FY2025A

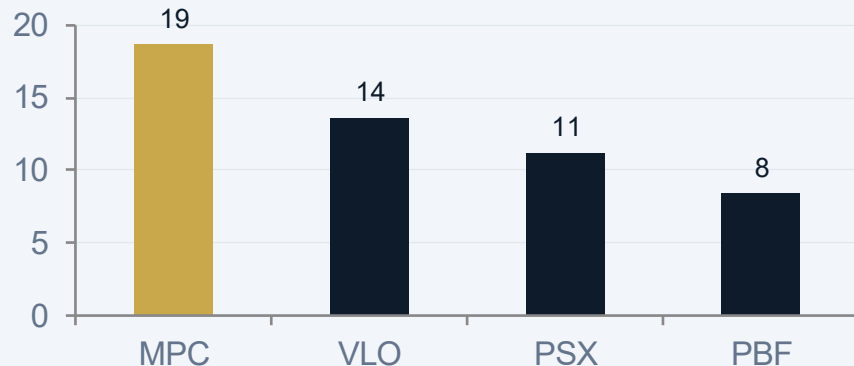


Metric (\$B)	2020	2021	2022	2023	2024	2025
Revenue	66.1	109.1	179.5	150.3	140.4	133.4
YoY Growth	—	+65%	+64%	−16%	−7%	−5%
Gross Profit	7.2	13.4	28.8	22.9	18.2	18.2
Adj. EBITDA	3.7	9.2	18.4	18.0	11.3	12.0
EBITDA Margin	5.6%	8.4%	10.2%	12.0%	8.0%	9.0%
Net Income (MPC)	0.1	3.8	14.5	9.7	3.4	4.0
Diluted EPS	\$0.27	\$9.46	\$33.47	\$23.63	\$10.08	\$13.22
EPS YoY Growth	−95%	+3,400%	+254%	−29%	−57%	+31%
Op. Cash Flow	2.3	7.1	16.1	14.3	8.7	8.3
CapEx	0.8	0.9	1.2	2.1	3.2	3.1
Free Cash Flow	1.5	6.2	14.9	12.2	5.5	5.2
Capital Returned	—	4.2	9.0	10.4	10.2	4.5

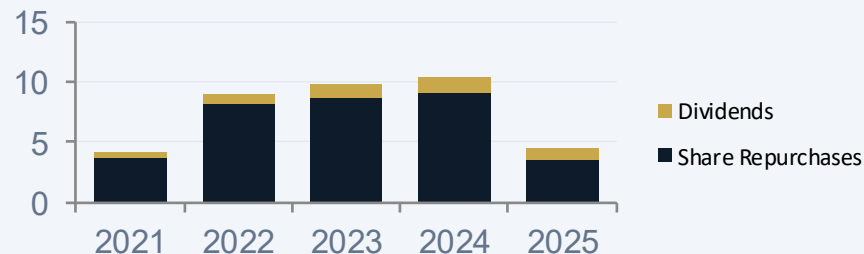
Competitive Positioning & Catalysts

Structural Refining Advantage

Q4 2025 REFINING MARGIN (\$/bbl)



CAPITAL RETURNED (\$B)



NEAR-TERM CATALYST

CA Refinery Closure — Demand Tightening

Phillips 66 permanently shutting Wilmington CA refinery (Q4 2025) — removes ~139 mbpd. Valero Benicia (145 mbpd) also closing Apr 2026. Combined ~284 mbpd = 17% of CA capacity permanently removed. Structural, not cyclical.

SECULAR TAILWIND

AI Data Center + Aviation Demand Surge

Diesel demand surging from data-center construction and backup generation. Jet fuel recovering +5% YoY. Distillates now ~36% of MPC's refined product yield — higher-margin product mix shift.

STRUCTURAL MOAT

Sour Crude Cost Advantage

~50% of MPC's crude diet is discounted heavy/sour crude. High-complexity Gulf Coast & Mid-Con refineries built for sour processing. Venezuelan crude access when policy allows adds further optionality.

Regional Crack Spread Differentials

California's Isolated Market

CALIFORNIA — A MARKET UNTO ITSELF

No Pipeline Access Across the Rockies

No refined product pipelines cross the Rocky Mountains. California cannot import gasoline from the Gulf Coast or Mid-Continent — any supply shortfall causes immediate price spikes.

CARB Mandates — Proprietary Fuel Blend

California Air Resources Board mandates a proprietary gasoline blend only CA-certified refineries can produce. Outside supply cannot substitute — creating a captive, premium-priced market.

17% of CA Capacity Permanently Removed

Phillips 66 Wilmington (139 mbpd, Q4 2025) + Valero Benicia (145 mbpd, Apr 2026) = 284 mbpd permanently shuttered. This is structural — capacity never returns.

MPC's Martinez (161 mbpd) Captures the Gap

MPC's Martinez CA refinery (JV w/ Neste) is the natural beneficiary. Improving utilization + LCFS credit monetization add margin. West Coast spreads are structurally wider than the US average.

GULF COAST — ~50% OF MPC CAPACITY

Sour crude structural discount vs. Brent — Garyville and Galveston Bay built for discounted heavy grades, providing a permanent cost advantage regardless of geopolitical environment.

MID-CONTINENT — ~35% OF MPC CAPACITY

Access to discounted Bakken and Canadian heavy crude via MPLX pipelines. Catlettsburg (278 mbpd) and Robinson (206 mbpd) earn cost-advantaged margins. Landlocked geography limits imported product competition — a structural moat not visible in peer multiples.

KEY INSIGHT

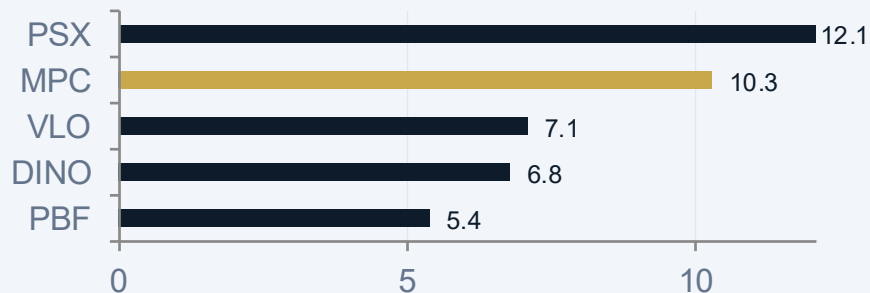
MPC's three regions each earn structurally differentiated crack spreads. California's geographic isolation + CARB mandates + 17% permanent capacity removal means West Coast margins are durably wider — yet the market assigns MPC a generic “average refiner” multiple that ignores this regional premium.

Comparable Company Analysis

MPC Offers Superior Risk-Adjusted Returns

Company	Ticker	Mkt Cap	EV/EBITDA	Fwd P/E	EBITDA Mgn	ROE	Div Yld	Rating
Marathon Petroleum ★	MPC	\$68B	10.3x	14.5x	~9%	24.2%	1.6%	Buy
Valero Energy	VLO	\$68B	7.1x	14.1x	~7%	8.3%	3.2%	Buy
Phillips 66	PSX	\$75B	12.1x	14.1x	~6%	15.4%	3.8%	Hold
HF Sinclair	DINO	\$5.5B	6.8x	10.2x	~5%	10.1%	5.2%	Hold
PBF Energy	PBF	\$3.3B	5.4x	8.9x	~3%	6.2%	1.4%	Hold
Peer Median	—	—	7.1x	12.2x	~6%	9.2%	3.5%	—
MPC vs. Median	—	—	+45%	+19%	+3pp	+15pp	-1.2pp	—

EV/EBITDA Comparison



Key Valuation Insights

- MPC's 10.3x EV/EBITDA premium over VLO (7.1x) reflects MPLX integration — a structural stability premium the market is slowly recognizing
- At 14.5x forward P/E, MPC still screens attractively vs. S&P 500 (~21x) and the broader energy sector — given its capital return profile
- 11.7% capital return yield in 2025 remains peer-leading with \$4.4B buyback authorization remaining and sustainable: MPLX alone covers dividends + CapEx in 2026, freeing all refining FCF for buybacks
- MPC's 24.2% ROE vs. peer median of ~9.2% demonstrates it creates over 2.5x the value per dollar of equity — under-appreciated by current multiple

DCF Valuation — FCFF Model

Mid-Cycle DCF Base: \$230 | SOTP
Intrinsic: ~\$232+ | Bull: \$287 |
Bear Floor: \$142 (MPLX limits true
downside)

\$31.3B PV of FCFFs (5yr)	\$68.1B Terminal Value PV	\$99.4B Enterprise Value	(\$31.5B) Less: Net Debt	\$67.9B Equity Value	~295M Shares Outstanding	\$230 Intrinsic Value/Shr
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Assumption	Value
Exit Year (Projection)	5 years
Rev. Growth Yr 1-2	3.5%
Rev. Growth Yr 3-5	2.5%
EBITDA Margin (expand)	9.0% → 10.1%
D&A (% of Rev.)	2.2%
CapEx (% of Rev.)	2.3%
ΔWorking Capital	−0.5% rev.
Tax Rate	21.0%
Exit EBITDA Multiple	7.3x (Base)
Net Debt (2025)	\$31.5B

WACC Component	Value
10-yr UST (Risk-Free)	4.4%
Equity Risk Premium	5.5%
Beta (5-yr monthly)	0.71
Cost of Equity (CAPM)	8.31%
Pre-tax Cost of Debt	3.90%
Tax Rate	21.0%
After-tax Cost of Debt	3.08%
Weight: Equity	92.0%
Weight: Debt	8.0%
WACC	7.90%

Upside \$287 +24% Rev Growth: 5.0% EBITDA Margin: 10.5% Exit: 9.1x WACC: 7.4%	Base \$230 ~0% Rev Growth: 3.5%/2.5% EBITDA Margin: 10.1% Exit: 7.3x WACC: 7.9%	Downside \$142 -39% Rev Growth: 1.0% EBITDA Margin: 7.8% Exit: 4.5x WACC: 8.9%
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(\$B)	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	140.4	133.4	122.7	125.3	128.0	130.9	133.7
YoY Growth			−8.0%	2.1%	2.2%	2.3%	2.1%
Adj. EBITDA	11.3	12.0	12.4	12.7	13.0	13.4	13.7
EBITDA Margin	8.0%	9.0%	10.1%	10.1%	10.2%	10.2%	10.3%
FCFF	8.7	8.3	7.2	7.8	8.1	8.5	8.8
Discount Factor			0.926	0.858	0.795	0.736	0.682
PV of FCFF			6.7	6.7	6.4	6.3	6.0

Source: MPC filings, Q4 2025 earnings, internal model. E = estimated.

Sum-of-the-Parts Valuation

MPC Is Mispriced as a Pure Refiner

STEP 1: MPLX VALUE

MPLX 2026E Adj. EBITDA

~\$5.8

Peer MLP EV/EBITDA Multiple

12x

MPLX Enterprise Value

~\$69.6B

MPC's ~64% Stake Value

~\$44.5B

MPLX Value Per MPC Share

~\$151

STEP 2: MPC EX-MPLX

MPC Enterprise Value

~\$99.4B

Less: MPC's MPLX Stake

(~\$44.5B)

Implied Refining EV

~\$55B

Refining EBITDA (2025A)

~\$6.7B

Implied Refining EV/EBITDA

~8.2x

STEP 3: PEER COMPARISON

Pure-Play Refiner EV/EBITDA:

VLO (Valero): 7.1x

DINO (HF Sinclair): 6.8x

PBF Energy: 5.4x

Peer Median: 6.8x

MPC ex-MPLX: ~8.2x

Modest premium to peers — justified by 114% crack capture and 37% higher per-barrel margins vs. Valero.

BOTTOM LINE

At \$232, you get MPLX — a fee-based midstream MLP worth ~\$151/share — plus 3.0 mbpd of top-ranked US refining for only ~\$81/share. The market values MPC's refining at pure-refiner multiples while assigning zero midstream premium. That is the mispricing.

Sensitivity Analysis

Target Price Robustness Across Key Assumptions

≥\$240 — Strong Upside
\$215–\$239 — Upside
\$190–\$214 — Base Zone
\$170–\$189 — Near Current
<\$170 — Downside

Equity Value / Share — WACC vs. Terminal Growth Rate

WACC→ TGR ↓	6.9%	7.4%	7.9%	8.4%	8.9%
1.0%	\$312	\$287	\$264	\$244	\$226
1.5%	\$278	\$256	\$237	\$220	\$205
2.0%	\$249	\$230	\$214	\$199	\$186
2.5%	\$223	\$207	\$193	\$181	\$169
3.0%	\$200	\$187	\$175	\$164	\$155

Equity Value / Share — EBITDA Margin vs. Revenue Growth

EBITDA Mgn → Rev Gr ↓	8.0%	9.0%	10.1%	11.0%	12.0%
1.0%	\$158	\$170	\$185	\$198	\$210
2.0%	\$168	\$182	\$199	\$214	\$228
3.5%	\$180	\$196	\$215	\$231	\$247
5.0%	\$189	\$207	\$227	\$245	\$263
7.0%	\$200	\$219	\$241	\$261	\$281

Key Observations

- Base case (\$230) uses WACC of 7.9% and 7.3x exit EBITDA multiple (conservative for integrated refiner+MLP) — current price ~\$232 is essentially at base; upside scenario \$287 implies +24% from here; analyst consensus ~\$212 (Raymond James raised to \$270 Mar 2026)
- At ~\$232 current price, MPC sits in the "Base Zone" of our sensitivity — the Iran premium has come out of the stock, meaning you are buying at fair value with full upside to \$287.
- Upside scenario (\$287, +24% from current) is triggered by EBITDA margin expanding to 11%+ — achievable given California structural supply tightening and MPLX 12.5% distribution growth
- Downside (\$142, -39%) requires simultaneous revenue contraction, margin compression, AND multiple de-rating — all three together is a low-probability scenario given structural demand

Risks & Mitigants

Risk-Adjusted Return Remains
Compelling

HIGH	Crack Spread Compression New Asian refining capacity online 2026; OPEC supply changes; global demand destruction could compress R&M EBITDA by 40–50%.	 Mitigant: MPLX \$3.5B+ fee-based distributions provide a fully crack-spread-independent earnings floor — alone covering dividends + standalone CapEx in 2026.
MED	OPEC Crude Supply Surge / Oil Price Volatility Oil price collapse or supply glut narrows heavy/sour differentials, eroding feedstock cost advantage vs. peers processing lighter sweet crudes.	 Mitigant: High-complexity refineries process diverse crude slates. 50% sour crude diet remains discounted vs. sweet crude in most macro scenarios. WTI currently supportive.
MED	Long-term EV Adoption Accelerates Gasoline Decline Gasoline demand structurally declining as EV penetration grows — reducing throughput utilization and long-run economics for motor fuels.	 Mitigant: Distillates (jet fuel + diesel) represent ~36% of MPC's yield and are far less exposed to EVs than gasoline. Renewable diesel & SAF platforms provide energy transition optionality.
MED	Regulatory / Environmental Headwinds Tighter EPA refinery standards or California LCFS changes could increase opex or reduce margins at West Coast facilities (already higher cost).	 Mitigant: Renewable diesel segment monetizes LCFS credits. MPC is investing in compliance upgrades. West Coast represents <20% of total refining capacity.
LOW	USW Labor Strike / Operational Disruption United Steelworkers union negotiations ongoing — potential strikes could disrupt throughput at major refineries and impact near-term earnings.	 Mitigant: Geographically diversified 13-refinery network limits systemic risk. Historical pattern: disputes resolved within weeks. Strong \$8.3B operating cash flow buffer.

Why You Have To Buy (WYHTB)

The Conviction Case for MPC — April 2026

1 MPLX Is a Hidden Bond

\$3.5B+ in fee-based distributions in 2027 — completely independent of crack spreads. This alone covers every dividend MPC pays AND all standalone CapEx. Refining upside is essentially free.

3 Share Count Is Melting

Float is down ~40% since 2021. \$4.4B buyback authorization remaining as of Jan 2026. At current pace, share count drops another ~10% in 2026. Every dollar of earnings is split among fewer shares — massive EPS leverage.

5 Raymond James Just Raised to \$270

Raised March 25, 2026 — from \$210. Cites sustained elevated margins, California structural supply tightening, MPLX distribution growth. Consensus is still lagging at ~\$212. Our model says \$230 base, \$287 upside. Stock at \$232.

2 Crack Spreads Are Structurally Elevated

A fragile two-week ceasefire was announced — but oil remains at ~\$96, well above pre-war levels of \$70. West Coast competitor closures are permanent. Margins stay structurally elevated. \$18.65/bbl margin in Q4 2025 vs. \$12.93 a year prior.

4 You Are Paying Pure-Refiner Multiples for a Hybrid

At 10.3x EV/EBITDA, market is valuing MPC like a commodity refiner. But ~42% of EBITDA is from MPLX — a fee-based midstream MLP that deserves a 12-14x multiple. The blended intrinsic value is \$230-\$287.

6 Every Geopolitical Shock Makes MPC Money

MPC processes crude, it doesn't produce it. Supply shocks WIDEN crack spreads for US refiners. Even SPR releases still need to be refined. MPC is the last mile of energy security — demand is non-discretionary.

Refinery Network & Geopolitical Risk

US-Only Footprint | Middle East Exposure Analysis

GULF COAST — ~50% of Total Capacity

◆ Garyville, LA	578k bpd — largest US refinery
◆ Galveston Bay, TX	459k bpd
◆ Texas City, TX	76k bpd

MID-CONTINENT — ~35% of Total Capacity

◆ Robinson, IL	206k bpd
◆ Catlettsburg, KY	278k bpd
◆ Canton, OH	73k bpd
◆ Detroit, MI	137k bpd
◆ Mandan, ND	71k bpd
◆ St. Paul Park, MN	98k bpd

WEST COAST — ~15% of Total Capacity

◆ Martinez, CA	161k bpd (JV w/ Neste)
◆ El Paso, TX	131k bpd
◆ Kenai, AK	72k bpd

TOTAL: 3.0 MILLION BPD | 13 REFINERIES | 3 US REGIONS

100% domestic footprint — zero foreign refinery risk, zero war-zone plant exposure

MIDDLE EAST RISK — MPC vs. GLOBAL PEERS

RISK FACTOR	MPC	GLOBAL PEERS
Refineries in Middle East	0 of 13	3–8 facilities
Strait of Hormuz crude dep.	~0% direct	15–40% of supply
SPR drawdown effect	Neutral / Positive	Neutral / Negative
War risk to plant assets	NONE — US only	HIGH — exposed
Iran conflict impact	BULLISH ↑ margins	BEARISH ↑ costs
Crude supply shock	Widens crack spread	Raises feedstock cost

WHY MPC IS GEOPOLITICS-PROOF

MPC processes crude — it does not produce it. Every supply shock in the Middle East **WIDENS** the crack spread MPC earns per barrel. Even when nations tap Strategic Petroleum Reserves, that crude still needs to be **REFINED** — flowing into MPC's 3.0 mbpd system.

MPC has **ZERO** refineries in conflict zones. War risk to its assets is structurally nil — while global peers face plant shutdowns.

Continuity & Scenario Planning

Through-Cycle Resilience | Bull / Base / Bear Stress Tests

BULL CASE \$287 Target +24% from current	BASE CASE \$230 Intrinsic -0% from current	BEAR CASE \$142 Floor -39% from current
Macro Environment WTI stays \$85-100; Iran conflict unresolved through H2 2026; Strait of Hormuz pressure persists; diesel + jet demand surges	Macro Environment WTI normalizes to \$70-80; Middle East tension eases; refining margins compress but stay above 5-year avg; demand steady	Macro Environment Iran de-escalation collapses oil prices; WTI falls to \$55-65; OPEC surge + demand destruction; recession materializes
Refining Crack spreads stay \$18-22/bbl; utilization 96-98%; margin capture >110%. CA competitor closure locks in West Coast structural benefit	Refining Crack spreads normalize to \$13-15/bbl; utilization 93-95%; mid-cycle EBITDA ~\$12B. Structural West Coast benefit maintained	Refining Crack spreads compress to \$6-9/bbl; utilization drops to 88-90%; R&M EBITDA falls 40-50% from peak; West Coast margins weakest
MPLX Distributions grow to \$3.5B+ in 2027; Permian + Blackcomb/Rio Bravo pipelines in-service H2 2026; NGL fractionation complex online	MPLX Distributions grow on schedule to \$3.0-3.5B; Permian projects complete on time; fee-based cash flow provides earnings floor	MPLX Midstream provides floor: \$3.5B+ distributions still cover dividends + CapEx. MPLX not affected by oil price — fee-based model holds
Capital Return \$4.4B buyback fully deployed 2026; new auth announced; share count falls to ~265M; EPS leverages to \$17-20+	Capital Return ~\$2-3B buyback in 2026; dividend increased; share count falls to ~275M; steady EPS growth even on flat margins	Capital Return Buybacks paused or slowed to preserve liquidity; dividend maintained (MPLX distributions cover it); no new debt issued
Valuation Re-Rating Market recognizes blended midstream + refining model; multiple expands from 10.3x to 12x+ EV/EBITDA; \$287 achieved	Valuation Current multiple broadly maintained; intrinsic value \$230 per DCF; stock drifts toward fair value over 12-18 months	Floor Analysis Bear \$142 requires SIMULTANEOUS margin compression + revenue decline + multiple de-rating. MPLX floor limits true downside

Continuity anchor: MPLX \$3.5B+ fee-based distributions cover MPC dividends + standalone CapEx in ALL THREE scenarios — providing permanent downside protection regardless of refining cycle
 Bear case \$142 (-39%) requires crack spread collapse + revenue contraction + multiple de-rating occurring simultaneously — historically a <5% probability event

Through-the-Cycle Analysis

MPC Attractive at Mid-Cycle

Are we buying at the peak? Even at mid-cycle margins, MPC is attractive — because MPLX provides a floor that pure refiners don't have.

TROUGH — 2020 COVID	MID-CYCLE (NORMALIZED)	CURRENT — POST-CEASEFIRE
Stock Price ~\$22	DCF Intrinsic Value \$230	Current Stock Price ~\$232
Crack Spread ~\$4-6/bbl	Normalized Crack Spread \$13-15/bbl	Q4 2025 Crack Spread \$18.65/bbl
Adj. EBITDA \$3.7B	Adj. EBITDA ~\$12B	FY2025 Adj. EBITDA \$12.0B
MPLX Floor \$1.8B	MPLX Floor \$3.0-3.5B+	MPLX Floor \$3.0B+

Historical Stock Performance

Geopolitical Events & Macro Catalysts

2011	2016	2018	2020	2022-23	2025-26
~\$25	~\$28	~\$78	~\$22	~\$140	~\$232
\$25→\$78	Stock -45%	+180% from 2016	Stock -72%	+540% from 2020	ATH; +45% YTD
IPO Spin-off	OPEC Supply Glut	Andeavor — \$23B	COVID Crash	Ukraine War	Iran Ceasefire
Spun off from Marathon Oil Corp.; independent downstream pure-play. Stock rose from ~\$25 IPO to ~\$78 by 2018 acquisition.	Crude oversupply crushed crack spreads. MPC stock fell ~45% YoY from ~\$52 to ~\$28. Dividend maintained; buyback paused.	Largest US downstream M&A. Added 10 refineries + West Coast access. MPC becomes America's largest independent refiner.	Gasoline demand collapsed -30%. MPC cut dividend; announced Speedway sale (\$21B, 7-Eleven). Laid groundwork for buyback era.	Supply shock drove crack spreads to record highs. \$10B+ returned to shareholders. Float down 20%+ in two years.	WTI still at ~\$96 post-ceasefire — well above pre-war \$70. CA closures permanent. Q4 2025: 114% crack capture. Raymond James PT raised to \$270.

Source: MPC historical stock data, earnings releases.

Refinery Network & Product Mix

3.0 mbpd | 13 Refineries | 3 Regions

Refinery Locations by Region

GULF COAST (~50% of capacity)

- Garyville, LA — 578 mbpd (largest US refinery)
- Galveston Bay, TX — 459 mbpd
- Texas City, TX — 76 mbpd

MID-CONTINENT (~35% of capacity)

- Robinson, IL — 206 mbpd
- Catlettsburg, KY — 278 mbpd
- Canton, OH — 73 mbpd | Detroit, MI — 137 mbpd
- Mandan, ND — 71 mbpd
- St. Paul Park, MN — 98 mbpd

WEST COAST (~15% of capacity)

- Martinez, CA — 161 mbpd (JV with Neste)
- El Paso, TX — 131 mbpd
- Kenai, AK — 72 mbpd

FY2025 Refined Product Mix (% of sales mbpd)

Gasoline	49.6%	~1,507 mbpd
Distillates	36.2%	~1,100 mbpd diesel + jet fuel
NGLs / Petrochem	6.4%	~195 mbpd
Heavy Fuel Oil	3.0%	~91 mbpd
Asphalt	2.6%	~79 mbpd
Propane	2.2%	~67 mbpd

Distillates (diesel + jet fuel) = 36% of yield — far less EV exposure than pure gasoline refiners

Supply Chain Analysis

Crude Sourcing, Flow Rates & Geopolitical Resilience

CRUDE SOURCING

~50% Heavy/Sour Crude

Discounted vs. light sweet crude — structural cost advantage vs. peers

~50% Light/Sweet Crude

WTI / domestic Permian Basin supply; access via MPLX pipeline network

Venezuelan Crude Optionality

Policy-dependent access; heavy grade fits Gulf Coast refinery complexity

Domestic Shale Access

Eagle Ford, Permian, Bakken via owned/JV pipelines — price certainty

PIPELINE THROUGHPUT

~10,000 Miles Pipeline (MPLX)

Crude + refined product transport across Gulf Coast, Mid-Con, West Coast

Flow Rate Physics

Pipeline capacity is finite — constrains competitor arbitrage; MPC owns key choke points

Permian Build-Out 2026

Blackcomb (2.5 Bcf/d) + Rio Bravo (4.5 Bcf/d): in-service H2 2026

Northwind NGL Plant

400 MMcf/d Permian capacity coming H2 2026 — MPLX growth locked in

GEOPOLITICAL RESILIENCE

Domestic Refining = Insulated

All 13 refineries inside US borders — no foreign refinery risk; supply chain is US-onshore

SPR / Reserve Events

Even when nations tap strategic reserves, refined product STILL needs to be processed by refiners like MPC

Geopolitical Supply Tailwind

Oil still at ~\$96 post-ceasefire — well above pre-war \$70. Any supply disruption widens crack spreads for US refiners

US Energy Cost Advantage

US natural gas prices ~3-5x cheaper than EU — structural feedstock cost advantage for US refiners

Top Institutional Shareholders

73% Institutional Ownership | ~295M Shares Outstanding

Institution	Shares	% Outstanding	Est. Value	Recent Activity
Vanguard Group	38.2M	12.71%	~\$7.1B	Reduced -1.35% (Q4 2025)
State Street Global Advisors	17.9M	5.95%	~\$3.3B	Reduced -3.00% (Q4 2025)
BlackRock Inc.	15.5M	5.16%	~\$2.9B	Reduced -3.85% (Q4 2025)
Wellington Management	9.4M	3.12%	~\$1.7B	Stable (Q3 2025)
Geode Capital Mgmt.	5.8M	1.93%	~\$1.1B	Added +2.1% (Q4 2025)

73.0%
Institutional

1.6%
Insiders

25.4%
Retail / Public

Top 3 holders (Vanguard, BlackRock, State Street) collectively own ~24% of MPC — stable institutional base supports buyback-driven per-share EPS compounding

M&A Activity & Corporate Timeline

Portfolio Optimization | Midstream Expansion | Divestitures

2011 **ACQUISITION** IPO / Spin-off from Marathon Oil

Downstream pure-play established; focused on refining, marketing, logistics

2012 **MIDSTREAM** MPLX LP Formation

Created midstream MLP to monetize logistics assets; MPC retains ~64% GP interest — fee-based floor created

2018 **ACQUISITION** Andeavor Acquisition — \$23B

Largest US downstream deal; added 10 refineries, West Coast exposure; MPC becomes #1 US refiner

2021 **DIVESTITURE** Speedway Sale — \$21B (7-Eleven)

Disciplined divestiture of non-core retail; proceeds funded \$10B+ buyback; strategic focus on refining + midstream

2023 **MIDSTREAM** MarkWest Tornado JV (100%)

Acquired remaining 40% of Permian gas gathering/processing JV (\$303M); Tornado now fully consolidated

2025 **MIDSTREAM** BANGL Pipeline (100% — \$715M)

Acquired remaining 55% of NGL pipeline Permian to Gulf Coast; connects to new MPLX fractionation complex

2025 **DIVESTITURE** Ethanol Divestiture (~\$400M+)

Sold partial interest in ethanol production; non-core asset monetization; proceeds recycled to buybacks

2026 **MIDSTREAM** Traverse Pipeline (FID)

2.5 Bcf/d bi-directional Gulf Coast natural gas pipeline; in-service 2027; expands MPLX fee-based revenue

Strategy: Acquire scale → divest non-core (Speedway \$21B) → concentrate in refining moat + fee-based midstream. MPLX now a self-funding growth engine.

MPLX: The Hidden Bond Inside MPC

\$3.5B+ Fee-Based Floor — Regardless of Crack Spreads

\$3.5B+

Annual MPLX distributions to MPC (by 2027)

\$2.8B

Covers dividends + ALL standalone CapEx

12.5%

Distribution CAGR locked in for 2 years

~64%

MPC ownership of MPLX LP (general partner)

MPLX DISTRIBUTION GROWTH TO MPC (\$B)

Year	MPLX Dist. to MPC	MPC Dividend	MPC Standalone Cap Ex	Net Coverage
2023A	\$2.4B	\$0.88B	\$2.1B	Partial
2024A	\$2.6B	\$0.95B	\$3.2B	Partial
2025A	\$2.8B	\$1.00B	\$3.1B	Full
2026E	\$3.0B+	\$1.00B	\$1.5B	FULL + SURPLUS
2027E	\$3.5B+	\$1.10B+	\$1.3BE	FULL + SURPLUS

WHY THIS MATTERS FOR VALUATION

The Market Prices MPC as a Pure Refiner

At 10.3x EV/EBITDA, MPC is valued on refining earnings alone. But 42% of EBITDA comes from MPLX — a fee-based MLP that should trade at 12-14x.

MPLX Alone Justifies ~\$151 Per Share

MPLX 2026E EBITDA of \$5.8B × 12x peer MLP multiple = \$69.6B enterprise value. At 64% ownership: ~\$44.5B to MPC. / 295M shares = ~\$151/share just from MPLX, before any refining credit.

Refining Is "Free" at Current Prices

Strip out MPLX-implied value (\$151/share). Refining + everything else = \$232 – \$151 = \$81/share. For 3.0 mbpd of #1 US refining capacity. That's cheap.

Floor in ANY Market Condition

Fee-based MLP distributions don't compress when crack spreads fall. Bear case EBITDA drops 40%+ but MPLX still delivers \$3.5B+ floor — covering dividends entirely.

Key Takeaway: MPC at \$232 embeds \$151+/share of durable midstream value (MPLX) + \$81/share of refining — the market only prices the latter. Re-rating to blended multiple unlocks \$287 upside.

Reverse DCF: What MPC Must Do to Justify \$232

The Bar Is Very Low

At \$232, MPC implies only ~3.5% annual revenue CAGR for 5 years

MPLX growing at 12.5% annually. Even if refining earns ZERO growth, midstream alone nearly justifies the stock. Consensus EPS 2026: \$15.46 — we only need ~\$10.70 maintenance.

REVERSE DCF — IMPLIED ANNUAL GROWTH TO JUSTIFY PRICE

WACC→ TGR↓	6.9%	7.4%	7.9%	8.4%	8.9%
1.0%	1.5%	2.0%	2.5%	3.0%	3.5%
1.5%	2.0%	2.5%	3.0%	3.5%	4.0%
2.0%	2.5%	3.0%	3.5%	4.0%	4.5%
2.5%	3.0%	3.5%	4.0%	4.5%	5.0%
3.0%	3.5%	4.0%	4.5%	5.0%	5.5%

Easily Achievable — MPC has exceeded this for 5 consecutive years

Stretch — requires strong macro conditions

MPC vs. CONSENSUS ANALYST ESTIMATES

Metric	Bull Street	Our Base	Required at \$232
2026E Revenue CAGR	+5-8%	+3.5%	~3.5%
2026E Adj. EPS	\$15.46	\$13.00E	>\$10.70 needed
2026E EBITDA	~\$14B	~\$12.4B	~\$11B+ sufficient
MPLX Dist. to MPC	\$3.0B+	\$3.0B+	\$3.5B+ secures base
5-Yr Rev CAGR needed	6-8%	3.5%	3.5% covers \$232
Our WACC	~7.5%	7.9%	Conservative
Implied Share Price	\$270-287	\$230	\$232 = cheap

At \$232 MPC only needs 3.5% revenue CAGR. With MPLX at 12.5% CAGR and consensus EPS \$15.46, MPC is massively de-risked — the market simply hasn't done this math.

INVESTMENT RECOMMENDATION

STRONG BUY

NYSE: MPC

~\$232

Current Price

As of April 2026

\$230

Base Target

-0% from current

\$287

Upside Target

+24% upside

WHY MARATHON PETROLEUM NOW

Dual-Engine Model: MPLX's \$3.5B+ fee-based distributions provide an earnings floor independent of crack spreads; Refining adds cyclical upside when margins improve

Structural Moat: 114% crack capture rate (Q4 2025), sour crude diet, 3.0 mbpd capacity, and CA competitor closure create durable earnings advantages no pure-play refiner can replicate

Capital Return Machine: \$10.2B returned in 2024 (23% yield); \$4.4B buyback authorization remaining; share count down ~40% since 2021 — per-share EPS leverage still powerful

MPLX Growth Flywheel: 12.5% distribution CAGR locked in for 2 years; \$2.4B 2026 growth CapEx in Permian & Marcellus; distributions alone fund MPC's entire dividend + CapEx in 2026

Valuation Disconnect: 10.3x EV/EBITDA and 14.5x fwd P/E still undervalue the integrated midstream + refining model; analyst consensus ~\$212; Raymond James at \$270 still implies 16% upside from ~\$232; our base: \$230 | upside: \$287

Appendix A: Historical Financials

APPENDIX

FY2019–FY2025

(\$B except EPS)	2019	2020	2021	2022	2023	2024	2025A
Revenue	111.7	66.1	109.1	179.5	150.3	140.4	133.4
YoY Growth	—	−41%	+65%	+64%	−16%	−7%	−5%
Cost of Sales	99.2	58.9	95.7	150.7	127.4	122.2	115.2
Gross Profit	12.5	7.2	13.4	28.8	22.9	18.2	18.2
Gross Margin %	11.2%	10.9%	12.3%	16.0%	15.2%	13.0%	13.6%
SG&A / Opex	3.8	4.1	4.3	5.2	4.7	5.1	5.5
Adj. EBITDA	5.7	3.7	9.2	18.4	18.0	11.3	12.0
EBITDA Margin %	5.1%	5.6%	8.4%	10.2%	12.0%	8.0%	9.0%
D&A	2.1	2.2	2.3	2.5	2.6	2.9	3.0
EBIT	3.6	1.5	6.9	15.9	15.4	8.4	9.0
Interest Expense	0.9	1.0	1.1	1.2	1.3	1.4	1.4
Income Tax	0.7	0.1	1.5	3.7	2.8	1.8	1.8
Net Income (MPC)	2.6	0.1	3.8	14.5	9.7	3.4	4.0
Diluted EPS	\$5.48	\$0.27	\$9.46	\$33.47	\$23.63	\$10.08	\$13.22
EPS YoY Growth	—	−95%	+3,400%	+254%	−29%	−57%	+31%
Operating Cash Flow	3.4	2.3	7.1	16.1	14.3	8.7	8.3
CapEx	1.2	0.8	0.9	1.2	2.1	3.2	3.1
Free Cash Flow	2.2	1.5	6.2	14.9	12.2	5.5	5.2
Capital Returned	3.1	—	4.2	9.0	10.4	10.2	4.5
Net Debt	23.1	24.5	21.8	19.7	17.5	28.6	31.5

Appendix B: WACC Build, Management & Capital Allocation

APPENDIX

WACC Derivation

Component	Value
Risk-Free Rate (10-yr UST)	4.4%
Equity Risk Premium	5.5%
Beta (5-yr Monthly)	0.71
Cost of Equity (CAPM)	8.31%
Pre-Tax Cost of Debt	3.90%
Tax Rate	21.0%
After-Tax Cost of Debt	3.08%
Weight: Equity / Debt	92% / 8%
WACC	7.90%

SHARE BUYBACK HISTORY

Year	Shares (M)	Buyback (\$B)	Float Reduction
2021	495	3.7	—
2022	455	8.2	-8.1%
2023	408	8.7	-10.3%
2024	341	9.2	-16.4%
2025	295	3.6	-13.5%

Management Team

Maryann T. Mannen

Chairman, President & CEO

Named Chairman Jan 2026; CEO since Aug 2024; former EVP & CFO (2021–2024); driving capital discipline and MPLX growth

Maria A. Khoury

EVP & CFO

Joined Jan 2026; 25 yrs finance leadership incl. GE Oil & Gas CFO; succeeded John Quaid; focused on capital allocation

Michael Henschen

EVP, Refining

Oversees all 13 refineries; 20+ yrs at MPC; named EVP 2025; drives 114% crack capture rate and turnaround execution

Brian Partee

Chief Global Optimization Officer

Also SVP of MPLX GP LLC; leads commercial optimization across refining and logistics; named CGOO in 2024

Molly R. Benson

Chief Legal Officer & Corp. Secretary

Oversees legal, compliance, and governance for MPC and MPLX GP LLC; key role in regulatory and M&A matters